

Divis Laboratories Ltd (DIVISLAB)

ROE	12.2%
ROCE	16.5%
CFO Quality	Moderate
Capital Allocation	Reinvestor

Strengths

- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Sustainable dividend payout backed by positive free cash flow.

Risks

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability.